



Government of Tripura
Department of Industries and Commerce

TRIPURA INDUSTRIAL INVESTMENT PROMOTION INCENTIVES SCHEME (TIIPIS), 2022



The Tripura Industrial Investment Promotion Incentive Scheme (TIIPIS), 2022 comes into effect from 1st April, 2022 for a period of 5 (five) years. The provisions of subsidy/ incentives under the Scheme-2022 is as follows:

1. Capital Investment Subsidy :

- a) Non-Thrust Sector MSMEs: 30% of fixed capital investment with ceiling of Rs.100 Lakhs per enterprise.
- b) Thrust Sector MSMEs: 40% of fixed capital investment with ceiling of Rs.125 Lakhs per enterprise.
- c) Additional Subsidy for ST/ SC/ PH/ Women enterprises @ 5% within the upper ceiling of Rs.100 Lakhs/ 125 Lakhs.
- d) For Large units @30% or 40% of investment on Land & Building with upper ceiling of subsidy Rs.200 Lakhs.
- e) For Private Infrastructure Developer for creation of industrial infrastructure, subsidy will be @30% with upper ceiling of Rs.500 Lakhs.
- f) For substantial expansion of the existing units subsidy will be provided @ 30% or 40% (with addl.5% for ST/SC /PH/Women) within overall ceiling of Rs.100 Lakhs or Rs.125 Lakhs for non-thrust and thrust sector enterprises respectively.

2. Procurement Preference :

- a) 15% Procurement Preference to local manufacturer on all purchases through tenders by State Government Agencies on products manufactured in Tripura, subject to 20% value addition within State.
- b) Local enterprises having capacity of partial supply of the tendered quantity/value shall be allowed to participate in tender process for minimum 40% of the tendered quantity, subject to 20% value addition within State.

3. Industrial Promotion Subsidy :

100% reimbursement of the net amount (net of input taxes) of the "Goods and Services Tax" actually paid by an enterprise subject to-

- a) For Non-Thrust Sector with an overall ceiling of Rs.80 Lakhs per enterprise per annum.
- b) For Thrust sector with an overall ceiling of Rs.125 Lakhs per enterprise per annum.
- c) Aggregating limit of entitlement of an enterprise for 5 years shall not be exceeding to 150% value of investment made in plant & machinery.

4. Power charges :

- a) Power charges will be provided to industrial units having connected load of above 20HP @ Rs.5.00 per unit without any upper ceiling.
- b) Industrial units having connected load up to 20 HP shall be reimbursed @ 25% of the power charges actually paid, subject to an upper ceiling of Rs.15 Lakhs for non-thrust sector and Rs.25 Lakhs for thrust sector enterprise per annum.

5. Partial Reimbursement of Interest on Term Loans :

- a) For Non-Thrust Sector: 4% reimbursement of interest paid on Term loan with upper ceiling of Rs.5.00 Lakhs per enterprise per annum.
- b) For Thrust sector: 5% reimbursement of interest paid on Term loan with upper ceiling of Rs.12.00 Lakhs per enterprise per annum.

6. Reimbursement of charges/ fees for obtaining Standard Certification/ Technology Know-how :

- a) Full reimbursement of fees/ charges for obtaining of Standard Certifications & subsequent renewal in 12 selected areas issued by National and International Bodies.
- b) One time full reimbursement of fees payable for getting Technical know-how/ Technology Transfer from any recognized national/ international organizations.

7. Exemption from the payment of Earnest Money and Bid Security Deposits:

- a) 100% Exemption to local manufacturer from payment of Earnest Money & Bid Security Deposits on tenders floated by State Government Agencies for procurement of goods.
- b) Local service sector entrepreneurs (excluding works contract & IT/ITes) eligible for State Capital Investment Subsidy under TIIPIS, 2022 shall also be allowed for the said benefit.

8. Employment Cost Subsidy (for Thrust Sector only) :

100% reimbursement of expenditure to MSMEs on account of contribution made towards Employee's Provident Fund and Employee's State Insurance Scheme on employment of 20 or more persons who are domicile of the State.

9. Subsidy on fees paid for Credit Guarantee Trust Fund for Micro and Small Enterprise (CGTMSE) :

100% reimbursement for one time guarantee fees & service fees paid every year by Micro & Small enterprises for CGTMSE coverage taken on loan granted by Banks/ NBFCs.

10. Export Promotion Subsidy :

- a) 10% reimbursement of value of goods exported to Bangladesh through the Land Custom Stations in the State, subject to an upper ceiling of Rs. 50 Lakhs per annum.
- b) It is applicable only for the items manufactured in the State subject to an enterprise shall have to achieve at least 20% value addition within the State.

11. Subsidy for participation in fares and exhibitions :

- a) 50% reimbursement of the expenditure incurred for travelling expenses of one person and transportation of goods to participate in State & National level fares subject to an upper ceiling of Rs. 1.00 Lakhs for each participation & maximum participation of 2 fares in a year.
- b) For participation in International Level fares prior approval of the appropriate authority is to be obtained.

12. State Transport Subsidy :

- a) 50% reimbursement of transportation cost of secondary raw materials for local resource based industry and raw materials required for manufacturing of packaging materials in the packaging industries in the State.
- b) Transport Subsidy shall be provided for transportation of raw materials from the nearest railway station of seller to the nearest railway station of the buyer as per the Railway Standard Parcel Rate.

13. Operational Subsidy to industrial units: New eligible industrial unit availed fixed capital investment subsidy from any subsidy scheme of State/ Central Government shall be provided all operational subsidies under this new scheme at the applicable rate and upper ceiling of the scheme, subject to obtaining of Eligibility Certificate under TIIPIS, 2022 from the concerned DIC.

14. One time additional subsidy/ incentive shall be provided to MSMEs registered under Udyam portal of MSME and obtained ZED Certification from the Ministry of MSME as per the following break-up:

- a) Investment made in Plant and Machinery up to Rs.1.00 Cr. : Max. of Rs.2 Lakhs.
- b) Investment made in Plant and Machinery from Rs.1.00 Cr to 10 Cr :Max. of Rs.5.00 Lakh.
- c) Investment made in Plant and Machinery above Rs.10.00 Cr. :Max. of Rs.10 Lakhs.

15. Special Incentives to Industrial Enterprises continue to operate for 5 years are provided for a further period of 5 years which are as follows :

- a) Industrial Promotion Subsidy shall be provided to enterprises @ 25% of Goods and Services Tax (net of input tax) actually paid after 5 years of operation with a condition that the aggregating subsidy amount paid since commissioning of the project shall not exceed the 150% of investment in plant and machinery.
- b) Power charges will be provided to all eligible industrial units with connected load of above 20HP @ Rs.5.00 per unit without any upper ceiling. The industrial units with connected load up to 20 HP shall be provided partial reimbursement of power charges @25% of power charges actually paid by the enterprise, subject to a maximum amount of Rs. 15.00 Lakhs per annum per enterprise. In case of Thrust Sector Industries, the annual upper ceiling shall be Rs.25 Lakhs per enterprise.
- c) Employment cost subsidy shall be paid to MSME enterprises with employment of 20 or more persons @ 50% of employer contribution paid towards EPF and ESI after 5 years of operation.

Following activities are under Thrust Sector :

(I) Manufacturing Sector

- a) Industrial units which are using Bamboo, Rubber, Agriculture and Horticultural produce and Gas as their major raw materials during production.
- b) Tea manufacturing.
- c) Agar Oil Extraction industry.
- d) Rubber Wood Processing Industry.
- e) Industrial units using plastic waste/ e-waste as major raw material during production.
- f) Municipal Waste Processing.
- g) Packaging material manufacturing activity.
- h) Agro waste processing Industry.
- i) Industries manufacturing/using bio-degradable plastics.
- j) Industries making cutlery items using areca nut leaves or bamboo.

(II) Service Sector :

- a) Tourism promoting Activities (Water Sports, Ropeways, Adventure & Leisure Sports, Floating Restaurant) with a minimum investment of Rs.3 Crores (excluding cost of land).
- b) Hospitals/ Nursing Homes with minimum investment of Rs.3 Crores (excluding land) with a minimum capacity of 25 beds .

Negative List of Activities :

1. All Service Sector Activities other than the following Activities :

- a) Hotels with investment of Rs.10.00 Cr. or more excluding cost of land.
 - b) Medical Diagnostic Centre and Radiological Laboratory with an investment of Rs.1.00 Cr.
 - c) Tourism promoting activities (Water sports/ Ropeways/ Adventure and Leisure Sports/ Floating Restaurant) with minimum investment of Rs. 3.00 Cr (excluding cost of Land).
 - d) Hospital/Nursing Home with minimum investment of Rs. 3.00 Cr. (excluding cost of Land) with a minimum capacity of 25 beds.
 - e) Tea Mixing and blending with fully mechanized process.
2. Bricks, Brickbats, Stone Chips and any other products or sub-products (excluding fly ash bricks, sand lime bricks, refractory bricks), or stones and burnt earthen tiles, excluding manufacture of bricks by mechanized process and manufacturing of bricks using natural gas as fuel (even by using conventional non-mechanical process).
 3. Distribution of electricity.
 4. Civil Aviation (excluding regional airlines provided the hub is at Agartala).
 5. Huller Rice Mill.

6. Physical mixing of fertilizer and Vermi compost.
7. Wood furniture (other than Rubber wood furniture/ mechanized wood furniture making unit with investment of Rs.40 Lakhs or more).
8. Saw mills (other than the saw mills located at notified areas for Rubber wood processing).
9. All goods falling under Chapter 24 of the First Schedule to the Central Excise Tariff Act, 1985 (5 of 1986) which pertaining to tobacco and manufactured tobacco substitutes.
10. Pan Masala as covered under Chapter 21 of the First Schedule to the Central Excise Tariff Act, 1985 (5 of 1986).
11. Plastic Carry bags of less than 20 microns as specified by Ministry of Environment and Forests Notification No.S.O.705(E) dated, 02.09.1999 and S.O.698(E) dated,17.06.2003.
12. Goods falling under Chapter 27 of First Schedule to the Central Excise Tariff Act, 1985 (5 of 1986) produced by petroleum oil or gas refineries.
13. Enterprises engaged in manufacture of alcoholic beverages.
14. Benefits under TIIPIS,2022 will not be admissible to goods in respect of which only peripheral like preservation during storage, cleaning operations, packing, re-packing, labeling or re-leveling, sorting, alteration of retail sale price etc. take place.
15. Any other industry/ activity notified by the State Government for inclusion in this List.

For Further Details Please Visit :

- a) industries.tripura.gov.in
- b) tidc.tripura.gov.in
- c) Directorate of Industries & Commerce, Agartala.
- d) GM, DICs of concerned Districts.

